

Lending and Affordability Policy

Organisation	North Pennine Community Credit Union (NPCU)
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Policy owner	Head of Lending
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Document control note: users must confirm status and effective date before relying on a rule. Superseded documents are retained in this synthetic corpus deliberately so that retrieval pipelines can be tested for version awareness.

1. Purpose and Lending Principles

This section defines how North Pennine Community Credit Union (NPCU) applies purpose and lending principles in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
1.1	Loans must be affordable, appropriate to the member's circumstances and granted within approved product and risk limits.
1.2	Automated decisions may support consistency but accountability remains with the credit union.
1.3	Growth targets must never override affordability, eligibility or risk controls.

Control 1. Loans must be affordable, appropriate to the member's circumstances and granted within approved product and risk limits. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Automated decisions may support consistency but accountability remains with the credit union. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Growth targets must never override affordability, eligibility or risk controls. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

2. Standard Personal Loan Eligibility

This section defines how North Pennine Community Credit Union (NPCU) applies standard personal loan eligibility in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
2.1	A standard personal loan normally requires at least 90 days of active membership before application.
2.2	The maximum standard personal loan is £15,000 subject to affordability, internal risk grade and aggregate exposure.
2.3	Members with active unresolved fraud markers or a current insolvency restriction require specialist referral.

Control 1. A standard personal loan normally requires at least 90 days of active membership before application. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. The maximum standard personal loan is £15,000 subject to affordability, internal risk grade and aggregate exposure. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 3. Members with active unresolved fraud markers or a current insolvency restriction require specialist referral. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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3. Join and Borrow Product

This section defines how North Pennine Community Credit Union (NPCU) applies join and borrow product in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
3.1	Join and Borrow permits lending before 90 days of membership when all enhanced controls are met.
3.2	For members with less than 90 days' tenure, the Join and Borrow principal must not exceed £2,500.
3.3	Join and Borrow requires an internal risk score of at least 650 unless an approved manual exception is recorded.
3.4	Total monthly contractual debt service, including the proposed loan, should not exceed 35 percent of verified net monthly income.
3.5	Where a participating employer supports payroll deduction, payroll collection is the preferred repayment route and the payroll identifier must be validated before drawdown.

Control 1. Join and Borrow permits lending before 90 days of membership when all enhanced controls are met. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 2. For members with less than 90 days' tenure, the Join and Borrow principal must not exceed £2,500. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Join and Borrow requires an internal risk score of at least 650 unless an approved manual exception is recorded. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 4. Total monthly contractual debt service, including the proposed loan, should not exceed 35 percent of verified net monthly income. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 5. Where a participating employer supports payroll deduction, payroll collection is the preferred repayment route and the payroll identifier must be validated before drawdown. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine

deterioration in member outcomes.

4. Income and Affordability Assessment

This section defines how North Pennine Community Credit Union (NPCU) applies income and affordability assessment in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
4.1	Verified net income must be based on recent reliable evidence and adjusted for known material changes.
4.2	Essential expenditure, existing credit commitments and reasonable living costs must be considered before determining disposable income.
4.3	Affordability calculations must not assume that savings contributions can always be stopped unless the member has agreed this and doing so is appropriate.

Control 1. Verified net income must be based on recent reliable evidence and adjusted for known material changes. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Essential expenditure, existing credit commitments and reasonable living costs must be considered before determining disposable income. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 3. Affordability calculations must not assume that savings contributions can always be stopped unless the member has agreed this and doing so is appropriate. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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5. Credit Risk Assessment

This section defines how North Pennine Community Credit Union (NPCU) applies credit risk assessment in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent

review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
5.1	The internal risk score is one input and must be considered with external credit data, account conduct, indebtedness and member circumstances.
5.2	An external score or bureau result must not be used as the sole reason for an adverse decision where the data appears inconsistent or disputed.
5.3	Policy exceptions must identify the rule being overridden, rationale, approver and expiry of any temporary concession.

Control 1. The internal risk score is one input and must be considered with external credit data, account conduct, indebtedness and member circumstances. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 2. An external score or bureau result must not be used as the sole reason for an adverse decision where the data appears inconsistent or disputed. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Policy exceptions must identify the rule being overridden, rationale, approver and expiry of any temporary concession. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

6. Loan Amount, Term and Pricing

This section defines how North Pennine Community Credit Union (NPCU) applies loan amount, term and pricing in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
6.1	Loan terms should be aligned to purpose, amount and expected ability to repay without creating avoidable refinancing dependency.
6.2	Pricing must be drawn from the approved product table and must not be individually negotiated outside delegated authority.
6.3	Fees and interest must be presented clearly before the member accepts the agreement.

Control 1. Loan terms should be aligned to purpose, amount and expected ability to repay without creating avoidable refinancing dependency. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Pricing must be drawn from the approved product table and must not be individually negotiated outside delegated authority. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Fees and interest must be presented clearly before the member accepts the agreement. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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7. Decisioning, Delegated Authority and Overrides

This section defines how North Pennine Community Credit Union (NPCU) applies decisioning, delegated authority and overrides in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
7.1	Automated approvals outside product limits are prohibited even where the affordability calculation appears positive.
7.2	Manual overrides above £2,500 for Join and Borrow require Head of Lending approval and must be treated as policy exceptions.
7.3	A system configuration change affecting underwriting rules requires pre-production testing against approved test cases.

Control 1. Automated approvals outside product limits are prohibited even where the affordability calculation appears positive. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Manual overrides above £2,500 for Join and Borrow require Head of Lending approval and must be treated as policy exceptions. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. A system configuration change affecting underwriting rules requires pre-production testing against approved test cases. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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8. Post-Origination Monitoring

This section defines how North Pennine Community Credit Union (NPCU) applies post-origination monitoring in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
8.1	Early arrears within the first three contractual payments must be monitored as a distinct cohort.
8.2	Management reporting must compare arrears by origination month, product, risk band, employer group and membership tenure at drawdown.

Ref	Key requirement
8.3	A concentration of early arrears in one channel, product or configuration period must trigger root-cause analysis.

Control 1. Early arrears within the first three contractual payments must be monitored as a distinct cohort. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 2. Management reporting must compare arrears by origination month, product, risk band, employer group and membership tenure at drawdown. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. A concentration of early arrears in one channel, product or configuration period must trigger root-cause analysis. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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9. Management Information and Risk Limits

This section defines how North Pennine Community Credit Union (NPCU) applies management information and risk limits in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
9.1	Monthly lending MI must show applications, approvals, declines, override rate, average amount, average risk score, debt-service ratio and early arrears.
9.2	Join and Borrow exceptions must be reported separately from standard lending overrides.
9.3	A material deterioration in first-payment default or 30-day arrears requires a documented management response.

Control 1. Monthly lending MI must show applications, approvals, declines, override rate, average amount, average risk score, debt-service ratio and early arrears. The case record must show the information relied upon, the

outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Join and Borrow exceptions must be reported separately from standard lending overrides. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. A material deterioration in first-payment default or 30-day arrears requires a documented management response. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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End of synthetic document